

Multiple Choice (10 marks)

1. Which of the following causes the supply curve of paper to shift to the left?
 - (a) Paper producers expect lower paper prices in the months ahead.
 - (b) The price of pencils, a complement to paper, increases.
 - (c) Improvements in the technology used to produce paper.
 - (d) Environmental concerns reduce the yearly amount of timber that can be harvested.
2. Which of the following statements is true?
 - (a) The velocity of money is equal to real GDP divided by the money supply.
 - (b) Dollars earned today have more purchasing power than dollars earned a year from today.
 - (c) The supply of loanable funds consists of investors.
 - (d) The demand for loanable funds consists of savers.
3. The total utility from sardines is maximized when they are purchased until
 - (a) marginal utility is zero
 - (b) marginal benefit equals marginal cost
 - (c) consumer surplus is zero
 - (d) distributive efficiency is achieved
4. Which of the following insures the value of the U.S. dollar?
 - (a) The euro and other foreign currencies held by the Federal Reserve
 - (b) Gold bars in secure locations like Fort Knox
 - (c) The promise of the U.S. government to maintain its value
 - (d) The value of the actual paper on which it is printed.
5. Which of the following is more likely to result from a competitive market structure than from a monopoly making the same product?
 - (a) Price equal to marginal cost
 - (b) Relative welfare loss
 - (c) Relatively high price
 - (d) Relatively low quantity

True / False (10 marks)

Answer True or False

6. True or False: Expansionary monetary policy is designed to increase aggregate demand, boosting real output and employment during a recession.
7. True or False: The economic growth from 1990 to 2000, based on real GDP per capita, was 50 percent.
8. True or False: Economic costs are defined as the sum of explicit costs and implicit costs.
9. True or False: Increasing government spending without raising taxes is likely to create the greatest decrease in real GDP.
10. True or False: Private violin lessons are considered a public good because they are available to anyone in the community.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of setting a socially optimal price for a natural monopoly. How does the intersection of the marginal cost curve and demand curve determine this price?
12. Discuss how an increase in government spending, without changing taxes, can positively impact real gross domestic product when the economy is operating below full employment.

End of Paper